EQUITY RESEARCH REPORT | INITIATING COVERAGE

NSE: RELIANCE | BSE: 500325 | March 2026

Telecom · Retail · Energy · O2C

Reliance Industries Limited

Telecom · Retail · Energy · O2C

Reliance Industries Limited

Jio and Retail now generate more than 50% of EBITDA on just 41% of revenues. The stock still trades at blended multiples that reflect a petrochemical company. That dislocation is the trade.

Investment Highlights

- FY25 marks the first year Jio's EBITDA exceeded O2C in absolute terms - the stock has not been re-rated for it.
- Private label scaling drives 100-120 bps of Retail margin expansion through mix shift alone - no new stores, no new capex.
- FCF inflicts from ₹6,000 Cr in FY25 to an estimated ₹44,000 Cr by FY27 as 5G capex cycle normalises.

BUY | Target Price ₹1,612 | 12-Month Upside: +14%

Bear Case **₹1,200 (−15%)** | Base Case **₹1,612 (+14%)** | Bull Case **₹1,750 (+24%)**

Q1 FY26: ARPU Check → H2 FY26: Tariff Round → FY27: O2C Recovery → Ongoing: Jio IPO Watch

Current Market Price	Market Cap	52W High / Low	Net Debt / EBITDA
₹1,414	₹19.1L Cr	₹1,612 / ₹1,115	0.64x

INR (In Crores)	FY23	FY24	FY25	FY26E	FY27E
Revenue from Operations	891,311	914,472	980,136	1,061,368	1,144,192
EBITDA	153,920	178,290	183,422	201,660	200,234
EBITDA Margin %	*17.27%*	*19.50%*	*18.71%*	*19.00%*	*17.50%*
PAT	73,670	78,633	80,787	88,552	85,047
EPS (₹)	54.47	58.1	59.73	65.47	62.88

Source: RIL FY25 Annual Report, Q4 FY25 Analyst Presentation. FY26E-FY27E: Author estimates. E = Author estimates based on segment-level assumptions.

Downside Risks

- 5G capex cycle extends beyond FY26, compressing FCF
- Tariff hike delayed beyond H2 FY26 - Jio ARPU stagnates
- Crude price spike widens O2C margin pressure
- Jio IPO postponed, re-rating catalyst removed
- Retail expansion costs rise without margin recovery

Upside Catalysts

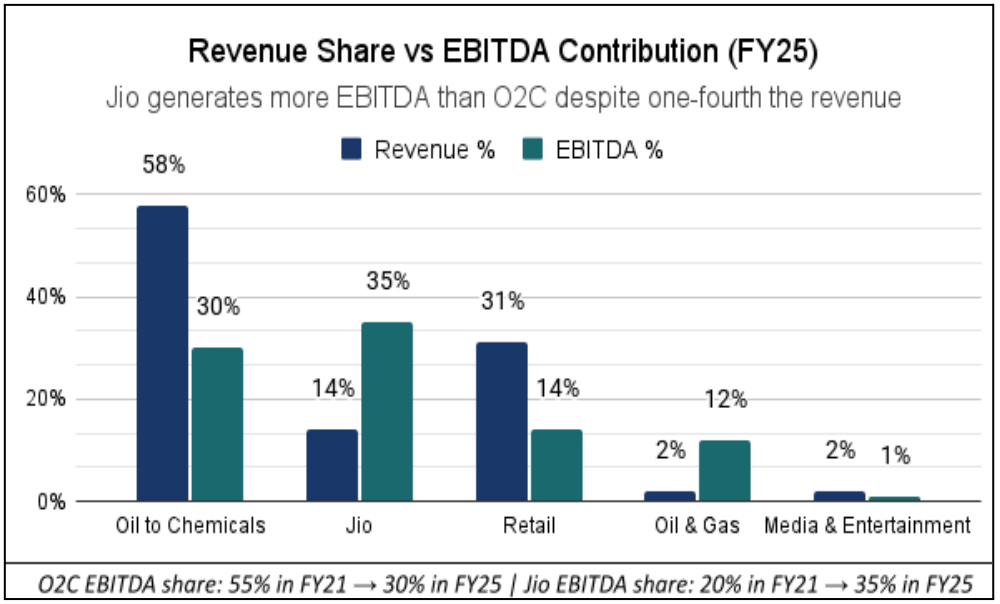
- H2 FY26 mobile tariff hike - ARPU jumps 15–20%
- Private label mix drives Retail EBITDA margin to 9%+
- O2C margin recovery on softening petrochemical cycle
- Jio IPO announcement - significant value unlock
- FCF normalization by FY27 enables dividend / buyback

EXECUTIVE SUMMARY

Reliance Industries Limited | Initiating Coverage | BUY | Target Price: ₹1,612 | Upside: 14%

We initiate with a BUY, target ₹1,612 (+14% over 12 months). The thesis is a valuation mismatch: Jio and Retail now generate over 50% of consolidated EBITDA on just 41% of revenues, yet the stock trades at blended multiples that reflect a petrochemical business. That dislocation is the opportunity.

The headline numbers, 7.1% revenue growth, 2.9% EBITDA growth are actively misleading without the segment breakdown.



RIL FY25 Annual Report (FY 2024-25), pp. 30, 34–35, 39–40 (Segment Performance, MD&A); Q4 FY25 Analyst Presentation

Jio: Monetisation Phase Has Begun, But The Path Is Not Linear

Jio closed FY25 with 488.2M subscribers and EBITDA of ₹64,170 crore, up 16.8% YoY and exceeding O2C in absolute terms for the first time. With wireless penetration at 88%, the growth driver has shifted from subscribers to ARPU. At ₹206.2, Jio's ARPU sits ₹39 below Airtel's ₹245; closing one-third of that gap adds ₹22,700 crore of annualised revenue on a network already built and largely depreciated. JioAirFiber targeting 100M homes at 3x mobile ARPU, adds a second monetisation vector not yet in consensus numbers.

JioAirFiber, targeting 100 million homes at 3x mobile ARPU, adds a second monetisation vector that is not yet in the market's numbers.

Retail: Margin Story Is Right, But Quick Commerce Risk Is Bigger Than Geography

Reliance Retail generated ₹3.3L crore in revenue across 19,340 stores at 8.3% EBITDA margin. That 8.3% is not the story - the trajectory is. Private label penetration scaling from 3-4% to 10-12% by FY27–28 drives 100-120 bps of margin expansion through mix shift alone, with no new stores and no incremental capex. Consumer Brands reached ₹11,450 crore in revenue in just its second full year. Every 100 bps on ₹3.3L crore is ₹3,300 crore of incremental EBITDA. Base case: ₹599/share.

The base case of ₹599 per share for Retail stands. The confidence band around it is wider than a single-point estimate implies.

O2C: Cyclical Weakness, Structural Position Intact

O2C's 11.9% EBITDA decline to ₹54,988 crore is China-driven and cyclical - Jamnagar's structural position is intact. The thesis does not require O2C recovery. Any normalisation toward historical margins is upside we are not paying for.

Valuation

SOTP is our primary methodology, DCF lands at ₹1,150-1,200 and serves as a floor, not a target

SOTP Summary Table		
Segment	Value per Share (₹)	Basis
Jio Platforms	₹ 832	15x FY26E EV/EBITDA
Retail	₹ 599	27x FY26E EV/EBITDA
O2C	₹ 264	6.5x FY26E EV/EBITDA
New Energy	₹ 131	Capital deployed
Oil & Gas	₹ 60	4.5x FY26E EV/EBITDA
Media	₹ 22	12x FY26E EV/EBITDA
Less: Net Debt	₹ -117	FY25 actual (₹1,17,083 Cr)
Less: HoldCo Discount	₹ -179	10% on pre-disc NAV
Target Price	**₹1,612**	

Source: Author estimates. Multiples based on FY26E segment EBITDA. HoldCo discount reflects partial transparency of Jio and Retail financials vs standard 15-20% for Indian conglomerates. March 2026.

Scenarios:

Probability-weighted outcome of ₹1,590–1,620 sits above current market price across all scenarios, Bear ₹1,200 (20%) | Base ₹1,612 (55%) | Bull ₹1,750 (25%). Full scenario assumptions in Section 5.4.

Key Risks

Russian crude disruption (₹10,000-13,000 crore EBITDA impact), Jio ARPU stagnation (₹70–80/share per ₹10 ARPU miss), and leadership concentration (multiple risk, not earnings risk) are fully quantified in Section 6.

Leadership concentration is a multiple risk, not an earnings risk. Succession is underway but market confidence in RIL's strategic direction remains tied to Mukesh Ambani personally. Any uncertainty would compress the premium multiple that Jio and Retail command, 2-3 turns on Jio alone is ₹150-200 per share.

Jio IPO delay or below-expectation pricing would affect sentiment without changing underlying EBITDA trajectory.

BUSINESS OVERVIEW

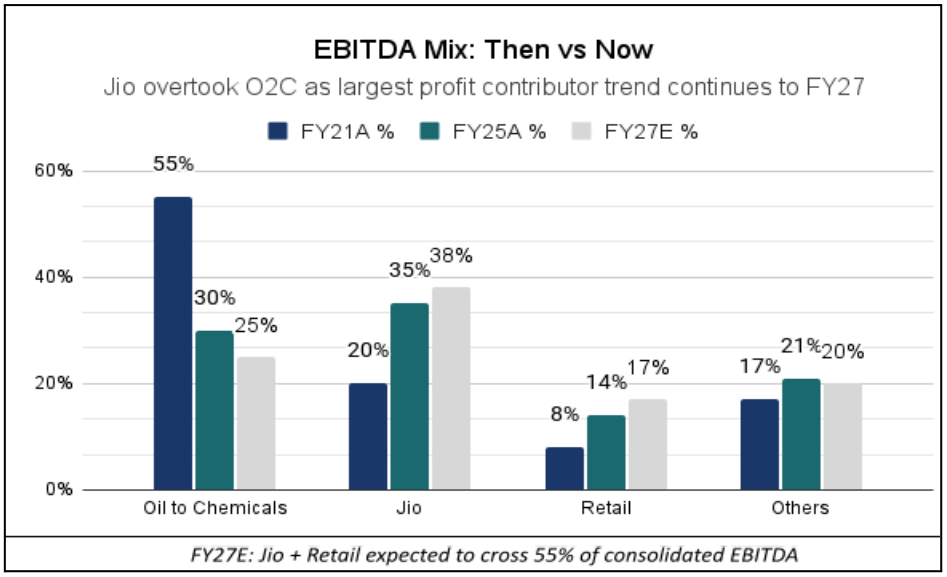
2.1 What Reliance Is Today

The market applies one multiple to three fundamentally different businesses at three different stages of their lifecycle. That is the mispricing. And it is becoming increasingly difficult to justify as the earnings mix continues to shift.

O2C built this company. Jamnagar is among the most complex refineries on the planet, and for two decades its cash flows funded every strategic bet Reliance ever made - Jio, retail, New Energy. It still generates 58% of consolidated revenue at ₹6,26,921 crore in FY25. But EBITDA fell 11.9% to ₹54,988 crore, dragged by Chinese capacity overhangs and compressed petrochemical spreads. O2C is large, cash-generative, cyclically weak, and critically no longer the primary earnings driver.

Jio's EBITDA of ₹64,170 crore exceeded O2C in absolute terms for the first time in FY25, every incremental rupee of ARPU now flows through at 40% EBITDA margin on a largely depreciated network.

Retail is the segment the market most consistently underweights. ₹3.3 lakh crore in revenue, 19,340 stores, 349 million registered customers no organised retailer in India operates at remotely comparable scale. EBITDA at ₹25,053 crore, margins at 8.3%. That 8.3% is not a ceiling. It is the starting point for a private label-led margin expansion that requires no new stores and no incremental capex to execute.



RIL FY23 Annual Report (FY 2022-23), p. 77 (EBITDA Contribution section); RIL FY25 Annual Report (FY 2024-25), pp. 30, 34–35, 39–40; FY27E: Author estimates

2.2 The Earnings Mix Shift: Why It Matters For Valuation

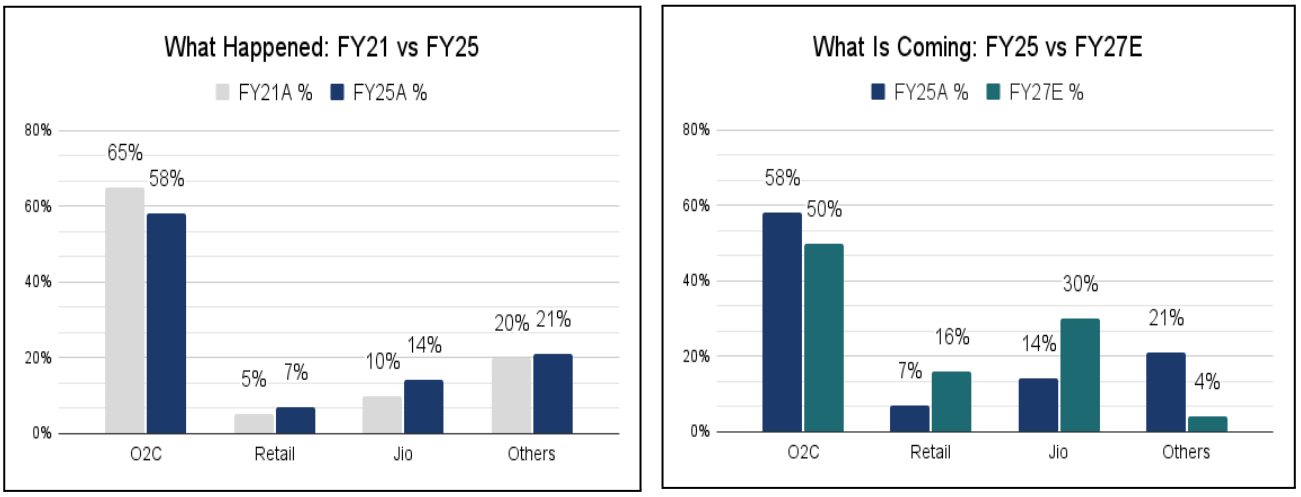
O2C's EBITDA share has fallen from 65% in FY21 to 30% in FY25; Jio's has risen from 20% to 35% on flat revenue share. Retail mirrors the same trajectory consistently, every year for four years.

Blending a commodity refiner (5-6x), a digital platform in monetisation phase (14-16x), and a consumer compounder (25-27x) into one consolidated multiple produces a number that is

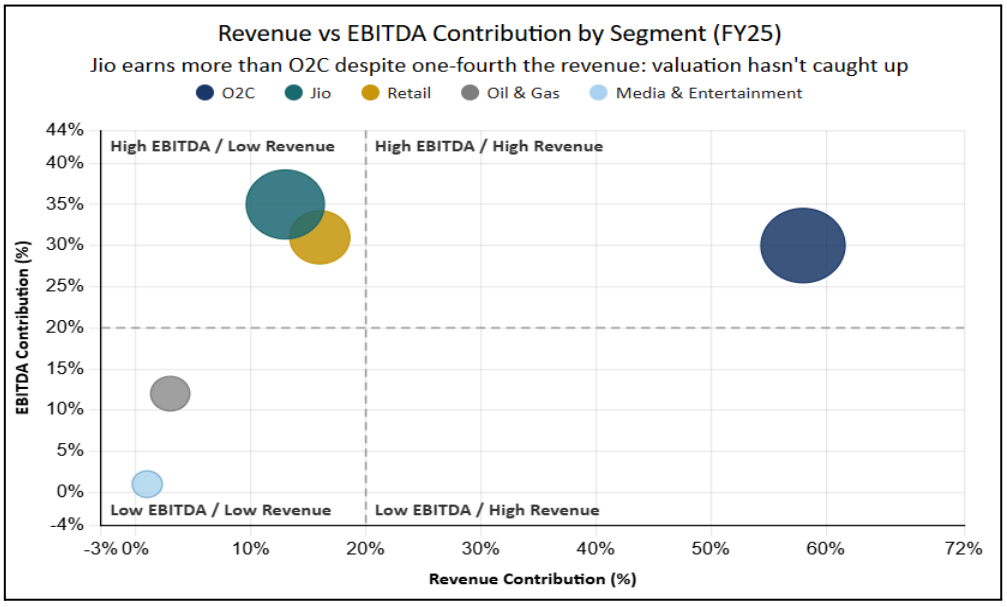
analytically useless. The market currently applies 10–11x blended, an artifact of reading the P&L top-down rather than segment-by-segment. As Jio and Retail's EBITDA contribution becomes impossible to ignore in quarterly disclosures, that discount compresses. Not because sentiment changes because the math demands it. Full SOTP peer benchmarking in Section 5.

Segment Revenue Mix Evolution: Gradual Shift Toward Consumer Businesses

O2C revenue share declining as Jio and Retail scale - FY27E continues four-year trend



Source: RIL FY23 Annual Report (FY 2022-23), p. 74 (10-Year Financial Highlights) for FY21 base data; RIL FY25 Annual Report (FY 2024-25), pp. 30, 32, 34–35, 39 for FY25 segment revenue; Q4 FY25 Analyst Presentation; FY27E: Author estimate



RIL FY25 Annual Report (FY 2024-25), pp. 34 (Retail), 35 (Digital Services), 39 (O2C), 40 (Oil & Gas) — Segment Financial Performance tables; Q4 FY25 Analyst Presentation; Author presentation

WHY THE MARKET IS WRONG

Three common pushbacks on this thesis that Reliance is an oil company, that Jio's ARPU ceiling is limited by rural price sensitivity, and that weak FCF disqualifies a positive rating are addressed with data in Sections 3, 4, and 5 respectively.

2.3 Competitive Positioning

Jio: Pricing Power Confirmed, But Ceiling Is Lower Than Headlines Suggest

With 60–65% of subscribers in rural and semi-urban markets meaningfully more price-elastic than Airtel's urban, postpaid-weighted mix, expecting ARPU parity is analytically incorrect. The two companies serve structurally different customer segments.

The less-discussed risk is downtrading rather than churn users migrating from ₹299 to ₹179 plans stay in subscriber count but compress ARPU. Our base case of ₹230-235 by FY27 assumes downtrading below 10%. Sensitivity analysis and bear case stress test are in Section 6.1.

Reliance Retail: Scale Advantage Is Real, Quick Commerce Risk Is Underestimated

Reliance Retail operates at a scale no Indian organised retailer can match 19,340 stores, 77.4 million sq ft, 349 million registered customers. The Tier 2/3 footprint is genuinely defensible: Blinkit and Zepto have minimal physical presence outside the top 10 cities, and their economics do not support rapid expansion into smaller markets.

The risk is therefore not primarily revenue, the Tier 2/3 footprint protects that. The risk is to the pace of margin expansion, because the private label story depends on in-store discovery and trial, which depends on footfall in higher-ticket urban stores.

O2C: Structural Advantages Intact, Cycle Still Weighing

Jamnagar's Nelson Complexity Index positions it among the world's most flexible refineries, capable of processing heavier, cheaper crude grades that simpler plants cannot handle. US ethane access adds a second feedstock flexibility lever for petrochemicals. These structural advantages are intact and durable.

The current weakness is entirely cyclical, China added 78 MMT of new ethylene capacity over three years into an already-supplied market, hitting every integrated petrochemical player globally in FY24–25. Reliance is not uniquely exposed, nor uniquely insulated. EBITDA of ₹54,988 crore in FY25 versus a normalised range of ₹62,000–70,000 crore reflects the cycle, not a structural shift in competitive position.

2.4 Management and Capital Allocation

Reliance has one capital allocation template: invest heavily ahead of the market, absorb years of negative free cash flow, then monetise at scale. Jio ran this playbook from 2016-2021. Retail ran it from 2017-2023. New Energy is in year three or four of the same cycle. The market discounted both Jio and Retail aggressively during their investment phases and re-rated them sharply when earnings became undeniable. The pattern is consistent enough that dismissing New Energy as a perpetual drag is a positioning error, not an analytical conclusion.

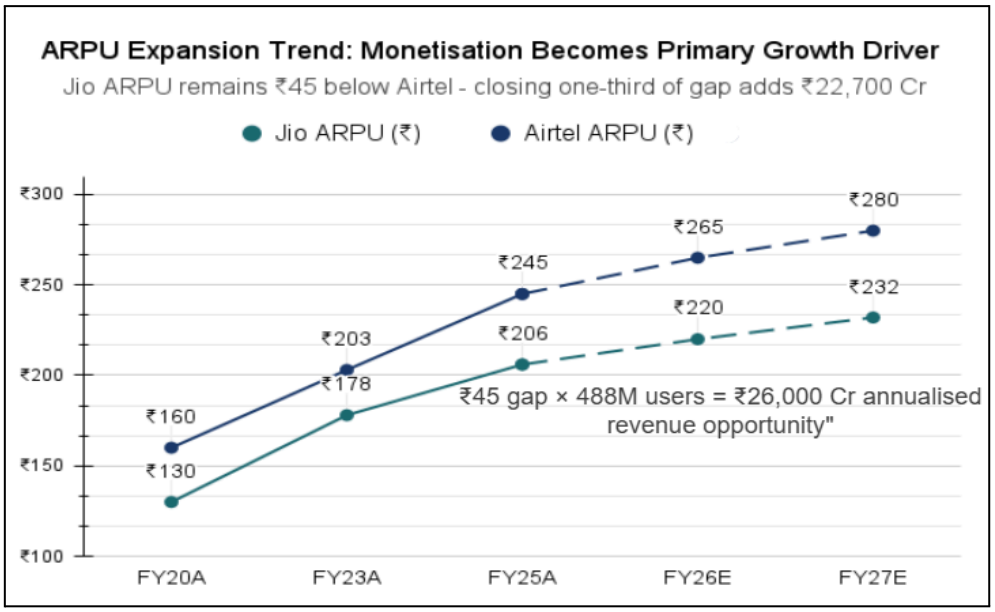
KEY INSIGHT

- Jio alone now earns more EBITDA than O2C despite generating one-fourth the revenue. The stock trades at a multiple that weights them the same. Four years of consistent data say that weighting is wrong.
- Quick commerce is a behaviour shift, not just a geography problem. The Retail margin expansion thesis is sound, but the timeline is more exposed to urban footfall dynamics than the geographic framing suggests.

INDUSTRY ANALYSIS

3.1 Indian Telecom: Pricing Power Is the New Growth Driver

The Jio-Airtel ARPU gap of ₹39 per user per month is the most important number in this thesis. The math: ₹39 gap across 488 million users equals approximately ₹19,000 crore of monthly revenue difference, or roughly ₹2.3 lakh crore annualised. Closing even one-third of that gap without adding a single new subscriber adds ₹22,700 crore of annual revenue on a network that is already built and largely depreciated. The incremental EBITDA margin on that revenue is approximately 40%, given the fixed-cost nature of the network. That is ₹9,000 crore of incremental EBITDA from one-third gap closure alone.



Source: Jio Platforms Quarterly Results (Q4 FY20–Q4 FY25); Bharti Airtel Quarterly Results (Q4 FY20–Q4 FY25); TRAI Telecom Subscription Data Report, March 2025; RIL FY25 Annual Report (FY 2024-25), p. 35 (Digital Services ARPU disclosure); FY26E–FY27E: Author estimates

Porter's Five Forces: Indian Telecom

Understanding why Jio's pricing power is sustainable requires looking at the industry structure, not just the market share numbers.

Threat of new entrants: Effectively zero. Nationwide telecom requires spectrum at auction prices, tens of thousands of crores in tower infrastructure, and years of negative FCF before scale simultaneously capital, regulatory, and operational barriers. No credible entrant has emerged since Jio itself. The industry is structurally closed

Bargaining power of suppliers: Moderate and declining. Equipment vendors - Ericsson, Nokia, Samsung face competitive pressure from each other and increasingly from domestic alternatives under the government's PLI scheme for telecom equipment. Spectrum pricing is set by government auction rather than supplier negotiation. Jio's scale gives it significant purchasing leverage on network hardware.

Bargaining power of customers: Moderate but structurally limited. Switching between operators has low financial cost and portability is free but meaningful practical friction in India, particularly in

rural markets where service quality differences are stark. Jio's rural coverage advantage creates implicit lock-in even without contractual barriers. The July 2024 hike absorbed without material churn confirms that customers have fewer credible alternatives than the theoretical switching cost would suggest.

Threat of substitutes: Substitution via satellite broadband (Starlink, OneWeb) is real but economically non-competitive at ₹3,000-7,000/month versus JioAirFiber at ₹600-700, a medium-term risk, not immediate

Competitive rivalry: Competitive rivalry is structurally low, two credible operators, one distressed player. Both Jio and Airtel have demonstrated consistent preference for revenue quality over market share defence. Vi's survival actually helps by maintaining a three-player structure that limits regulatory scrutiny on tariff increases.

Beyond Mobile: Two Growth Vectors Underpriced

JioAirFiber represents the most significant near-term growth vector outside mobile ARPU. 25 million homes connected currently, targeting 100 million over 3-4 years against an addressable base of roughly 310 million Indian households with still-low broadband penetration outside urban centres. Fixed wireless access through Jio's existing 5G tower network is capital-efficient, no fibre laying required and home broadband ARPU at ₹600-700 monthly is 3x mobile ARPU. Every home connected structurally improves Jio's consolidated revenue quality per user.

JioAirFiber Opportunity Table

Metric	Jio Mobile	JioAirFiber
Current Monthly ARPU	₹206	₹600-700
Addressable Base	488M subscribers	310M households
Current Penetration	488M connected	25M connected
Target (3-4 years)	Mature market	100M homes
Revenue vs Mobile	Base	3x mobile ARPU

RIL FY25 Annual Report (FY 2024-25), p. 35 (Digital Services - JioAirFiber metrics); Author estimates for target/projection rows

3.2 New Energy: The Third Iteration of a Proven Playbook

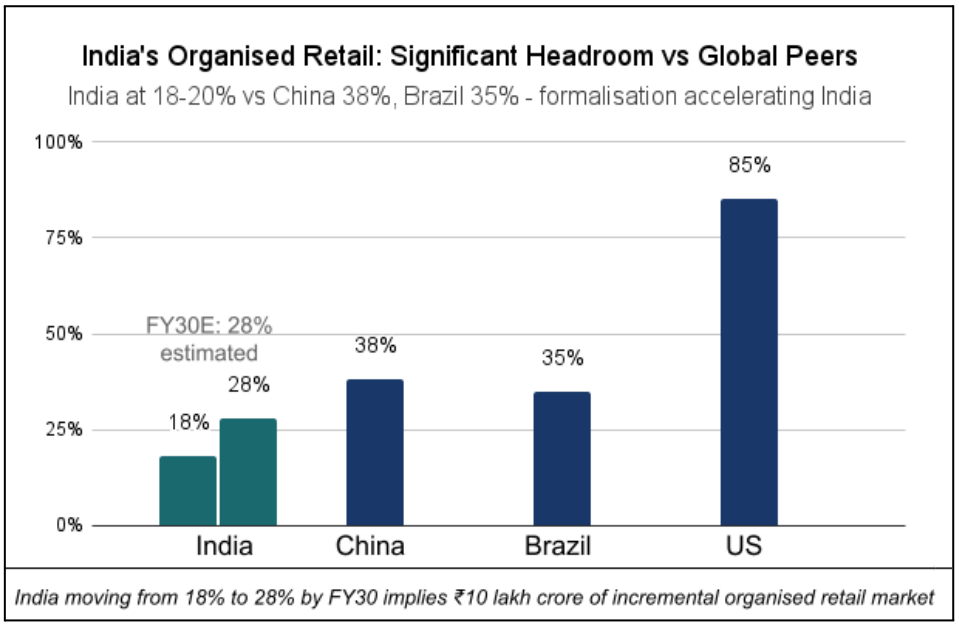
India's commitment to 500GW of renewable energy by 2030 against a current installed base of approximately 200GW represents one of the largest energy infrastructure build-outs anywhere in the world. The 300GW gap requires private capital at scale, government policy support, and vertically integrated players who can manage cost curves from manufacturing through to energy delivery. India's National Green Hydrogen Mission targeting 5 MMT annual production by 2030, backed by ₹19,744 crore in PLI incentives, adds a parallel opportunity set.

New Energy Scenario Analysis			
Scenario	Timeline	Green H2 Cost	Contribution to SOTP
Base case	FY28-29 commercial viability	$2.5-3/kg	₹131/share (capital deployed)
Optimistic	FY27-28 first offtake contracts	$2-2.5/kg	₹200-250/share
Delayed	FY30+ commercial scale	>$3/kg	₹100-120/share
Stress case	Capex +30%, 2-year delay	Cost overruns	₹80-100/share

Source: Author estimates; Green hydrogen cost benchmarks from IEA Global Hydrogen Review 2

3.3 Indian Retail: Formalisation Trend Is Real, But The Margin Story Is What Matters

India's organised retail penetration at 18-20% lags China at 38% and Brazil at 35%. Organised retail reaching 25-28% by FY30 implies ₹7-10 lakh crore of incremental addressable market. The differentiated story for Reliance is not the top-line opportunity, it is the margin trajectory



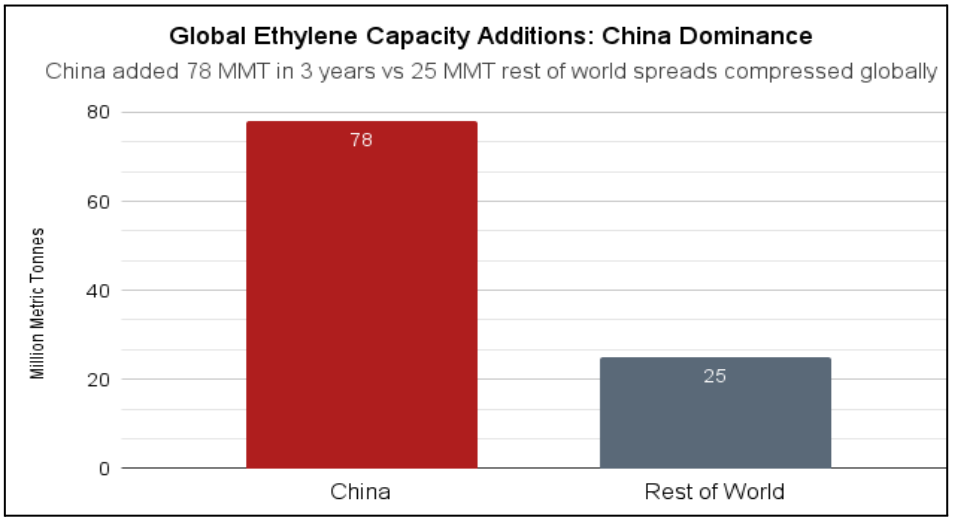
Source:IBEF Indian Retail Industry Report 2024 (ibef.org); Technopak Advisors Retail Outlook 2024; McKinsey & Company Global Retail Report 2024; FY30E: Author estimates

The Private Label Math

Current mix: approximately 96% traded goods at 7-8% margin, 4% private labels at 18-20% margin. Blended EBITDA margin: 8.3%. Consumer Brands, Reliance's private label FMCG division — went from zero to ₹11,450 crore in revenue in two years. As private label penetration scales from 3-4% to 10-12% of revenue by FY27-28, the blended margin moves to approximately 9.3-9.5% through pure mix shift. The calculation: (88% × 7.5%) + (12% × 19%) = 6.6% + 2.28% = 8.88%, rounding to approximately 9.3% with operating leverage on the fixed store base. Every 100 bps of margin expansion on ₹3.3L crore equals ₹3,300 crore of incremental annual EBITDA.

3.4 O2C: Cyclical Trough, Not Structural Decline

Jamnagar's competitive position is genuinely world-class and has not changed. Nelson Complexity Index advantage allows Reliance to process heavier, cheaper crude grades that simpler refineries cannot, a feedstock cost advantage that is durable through cycles. US ethane access for petrochemical feedstock adds a second flexibility lever. These structural advantages are intact.



Source: IEA World Energy Outlook 2024 (iea.org); Wood Mackenzie Global Petrochemical Capacity & Cost Analysis Report 2024

KEY INSIGHT

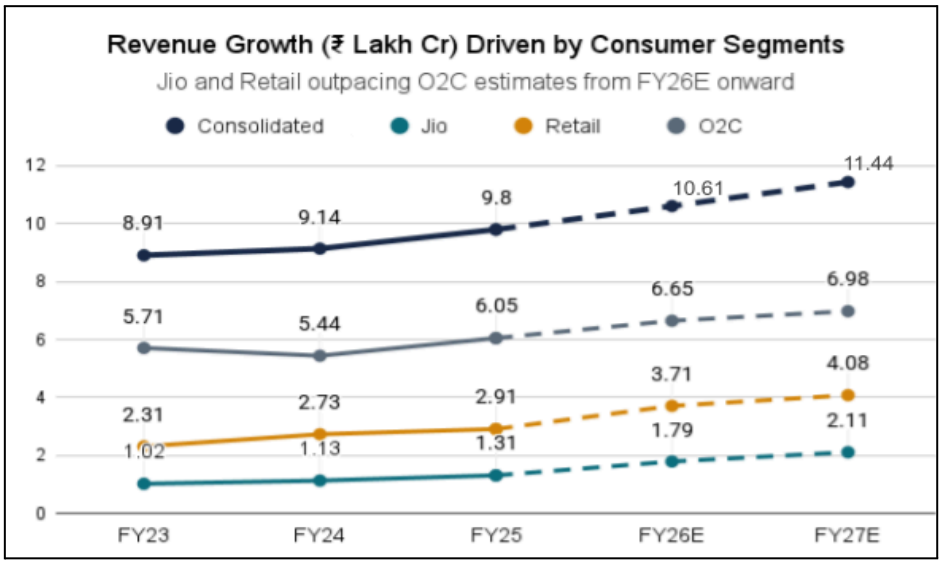
- Three segments, three cycle positions, one blended multiple. That compression is the opportunity and Porter's Five Forces analysis confirms the telecom industry structure is more constructive for Jio's ARPU expansion than market pricing implies.
- Quick commerce is a behaviour shift, not just a metro geography problem. The Retail margin expansion is real but the timeline is more exposed to urban footfall dynamics than a geographic framing suggests.

FINANCIAL ANALYSIS

4.1 Revenue

FY25 consolidated revenue crossed ₹10 lakh crore for the first time, ₹10,71,174 crore, up 7.1% YoY. The headline obscures the segment-level picture, which is where the thesis lives.

Underneath the headline, Jio EBITDA grew 16.8% to ₹64,170 crore and Retail crossed ₹3.3 lakh crore in revenue both expanding margins simultaneously. That is what earnings quality looks like.



Source: RIL FY23 Annual Report (FY 2022-23), p. 74 (10-Year Financial Highlights); RIL FY24 Annual Report (FY 2023-24), p. 32 (10-Year Financial Highlights); RIL FY25 Annual Report (FY 2024-25), p. 32 (10-Year Financial Highlights); Q4 FY25 Analyst Presentation; FY26E–FY27E: Author estimates

Consolidated Financials with FCF Row					
Metric (₹ Cr)	FY23	FY24	FY25	FY26E	**FY27E**
Revenue from Operations	891,311	914,472	980,136	1,061,367	1,144,191
YoY Growth %	-	2.60%	7.18%	8.29%	7.80%
EBITDA	153,920	178,290	183,422	201,659	200,233
EBITDA Margin %	17.27%	19.50%	18.70%	19.00%	17.50%
PAT	73,670	78,633	80,787	88,551	85,046
PAT Margin %	8.27%	8.60%	8.24%	8.34%	7.43%
EPS (₹)	54.2	58.1	59.73	64.9	67.5
Operating Cash Flow	110,000	120,000	137,000	153,000	154,000
Less: Capex	105,800	119,500	131,107	127,364	110,000
Free Cash Flow	4,200	500	6,000	26,000	44,000
FCF inflection driven by capex normalisation post 5G rollout completion					

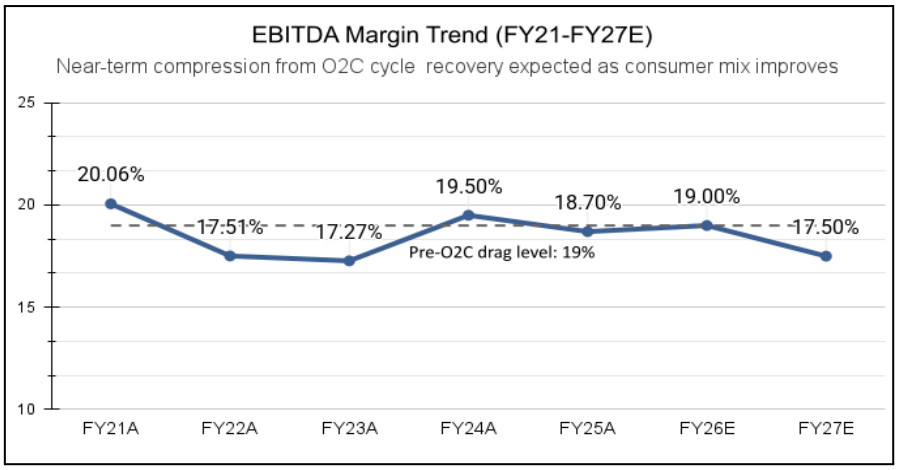
Source: RIL FY23 Annual Report (FY 2022-23), p. 74; RIL FY24 Annual Report (FY 2023-24), p. 32; RIL FY25 Annual Report (FY 2024-25), p. 32; Q4 FY25 Analyst Presentation (FCF and Capex data); FY26E–FY27E: Author estimates

4.2 Margins

At the segment level, the margin picture is significantly more interesting. Jio runs at 41% EBITDA margin, operating leverage on a fixed-cost network that has absorbed its peak investment phase and is now extracting returns on a largely depreciated asset base. Every incremental rupee of ARPU

on Jio's existing infrastructure flows through at approximately 40% EBITDA margin with minimal additional capex. Retail sits at 8.3%, modest in isolation but structurally improving as private label penetration scales. O2C is at 8.8%, cyclically depressed against a historical normalised range of 10-12% that 120-220 bps gap between current and normalised is the recovery upside embedded in the O2C segment if the cycle turns. Oil and Gas at 84% EBITDA margin is high-quality but small and non-scalable at the consolidated level.

The path to consolidated margin improvement runs through two levers that do not require O2C recovery: Jio's ARPU expansion adding high-incremental-margin revenue, and private label mix shift in Retail lifting blended margins from 8.3% toward 9.3-9.5%. If O2C normalises toward historical 10-11% margins by FY27-28, that adds 150-200 bps of additional consolidated upside, meaningful but not what the base case depends on.



Source: RIL FY23 Annual Report (FY 2022-23), p. 74 (10-Year Financial Highlights for FY21–FY23 margin data); RIL FY24 Annual Report (FY 2023-24), p. 32 (FY24 margin); RIL FY25 Annual Report (FY 2024-25), p. 32 (FY25 margin); FY26E–FY27E: Author estimates

Modelling note on FY27E margin compression: Our FY27E consolidated EBITDA margin compresses to 17.5% from 19% in FY26E, a 150 bps step-down that warrants explanation. This is not business deterioration. Two specific assumptions drive it: New Energy capex peaks in FY27 with a portion expensed rather than capitalised, creating a short-term reported margin drag; and JioAirFiber's aggressive home connection rollout in FY27 carries higher near-term installation costs before ARPU from those connections fully accrues through the year. Strip both effects out and underlying consumer business margins are expanding throughout FY25-27. The FY27E dip is a timing artifact, not a structural inflection.

Retail Margin: The Private Label Arithmetic

As detailed in Section 3.2, private label penetration scaling from 4% to 10-12% drives 100-120 bps of Retail margin expansion through mix shift alone. Consumer Brands reached ₹11,450 crore in FY25, iits second full year. The trajectory is in the numbers, not a forecast. Downside scenario (quick commerce suppresses footfall, penetration stalls at 7-8%): blended margin holds at 8.5-8.7%, Retail EBITDA ₹2,500-3,000 crore below base case. Full risk treatment in Section 6.3.

4.3 Balance Sheet

Net debt fell from ₹1,21,227 crore to ₹1,17,083 crore in FY25, despite ₹1,31,107 crore of capex deployed in the same year. That is the single most important balance sheet observation: a

company running a $15 billion annual capital expenditure programme simultaneously reduced its net debt. Cash and equivalents grew to ₹2,25,211 crore. Net Debt/EBITDA holds at 0.64x.

Balance Sheet Metric			
Metric	FY23	FY24	FY25
Total Debt (₹ Cr)	297,540	324,622	347,530
Cash & Equivalents (₹ Cr)	198,267	203,395	225,211
Net Debt (₹ Cr)	99,273	121,227	117,083
Net Debt/EBITDA	0.65x	0.68x	0.64x
ROCE	16%	15%	14%
Debt/Equity	0.38x	0.37x	0.35x
ROE	9.80%	10.20%	9.60%
Receivable Days	18	17	16
Debt Maturity (avg years)	6.2	6.8	7.1

Source: RIL FY23 Annual Report (FY 2022-23), p. 74 (Balance Sheet highlights); RIL FY24 Annual Report (FY 2023-24), p. 32; RIL FY25 Annual Report (FY 2024-25), pp. 32, 113–114 (Consolidated Balance Sheet)

The operating cash generation of Jio and O2C is funding the investment cycle in real time. That is not a trivial observation, it means the New Energy and JioAirFiber build-out is not being funded by balance sheet leverage but by operational cash flow from already-productive assets. At 0.64x Net Debt/EBITDA, the balance sheet does not constrain this thesis. It underwrites it.

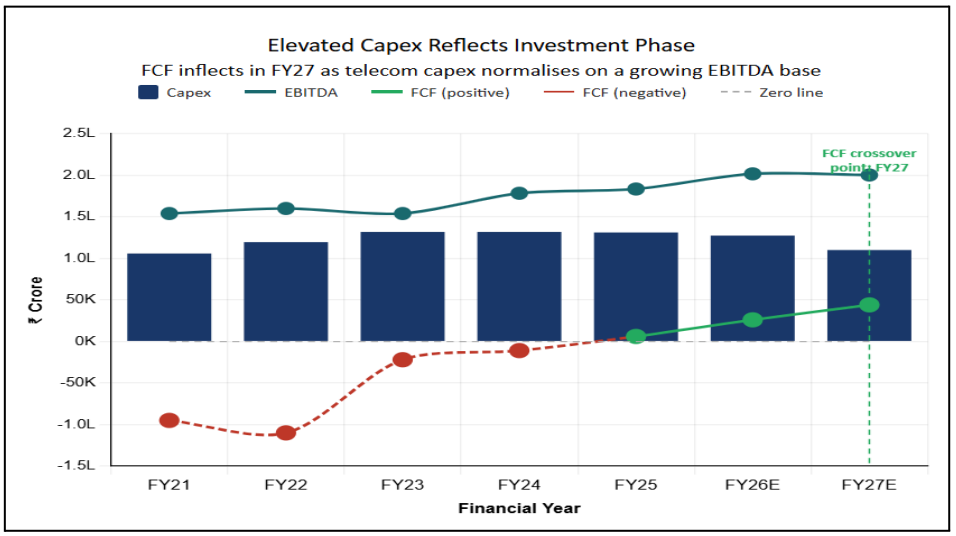
The Capex Question

₹1,31,107 crore in FY25 capex roughly $15.3 billion deployed across 5G rollout completion, retail expansion, O2C maintenance and upgrades, and New Energy manufacturing. This is the primary reason FCF looks weak and return ratios have softened. It is also the primary reason the forward FCF trajectory is so interesting.

5G rollout is substantially complete (191M subscribers by March 2025). Next phase is maintenance + JioAirFiber, structurally lower intensity.

New Energy delays the FCF inflection narrative but does not structurally impair the SOTP target.

Our base estimate: consolidated capex eases from ₹1.31 lakh crore in FY25 toward ₹1.10-1.15 lakh crore by FY27 as telecom normalises. FCF crosses into meaningfully positive territory in FY27 on the intersection of falling capex and growing consumer EBITDA.



Source: RIL FY23 Annual Report (FY 2022-23), p. 74; RIL FY24 Annual Report (FY 2023-24), p. 32; RIL FY25 Annual Report (FY 2024-25), p. 32; Q4 FY25 Analyst Presentation (Capex breakdown slides); FY26E–FY27E: Author estimates

FCF Forecast : The Fear Breaker

FCF Forecast — The Inflection Point			
Metric (₹ Crore)	**FY25A**	**FY26E**	**FY27E**
EBITDA	183,422	201,659	200,233
Less: Interest	(28,000)	(27,500)	(26,000)
Less: Tax	(18,000)	(20,500)	(19,500)
Operating Cash Flow	1,37,000	1,53,000	154,000
Less: Capex	(131,107)	(127,364)	(110,000)
Free Cash Flow	6,000	26,000	44,000
YoY FCF Growth	-	333%	69%

Source: RIL FY25 Annual Reports, Q4 FY25 Analyst Presentation. FY26E-FY27E: Author estimates.

FY25 FCF of ₹6,000 crore reflects ₹1,31,107 crore of capex against ₹1,83,422 crore of EBITDA not business quality. By FY27, capex falls toward ₹ 1.10-1.15 crore as 5G normalises, while EBITDA holds above ₹2L crore. That intersection is the FCF crossover. Stress scenario (capex +30%, two-year New Energy delay): inflection shifts to FY29, direction intact.

4.4 Return Ratios: Depressed by Timing, Not Structure

ROCE has declined from 18% in FY21 to 14% in FY25. That compression looks concerning in isolation. It is not structural weakness, it is the mechanical and expected arithmetic of any large-scale investment cycle where capital gets deployed years before it generates commensurate revenue.

By FY27-28, as Jio's monetisation matures and ARPU approaches ₹230+, Retail private label margins compound, and New Energy capex begins to ease, ROCE should recover toward 16-17%. That is not a heroic forecast, it is what happens when the numerator catches the denominator in a capital cycle that is now past its peak investment phase.

KEY INSIGHT

- ₹1.31 lakh crore of annual capex explains every headline that looks weak compressed margins, near-zero FCF, soft ROCE. At 0.64x Net Debt/EBITDA, the balance sheet confirms Reliance can sustain this cycle without financial stress.
- FCF inflects in FY27 in the base case - mechanical arithmetic of capex falling on a growing EBITDA base. In the stress scenario (capex +30%, two-year New Energy delay), inflection delays to FY29 but remains directionally intact. The direction is certain. The timing has a range.

VALUATION

5.1 Why SOTP, And Why DCF Alone Doesn't Work Here

SOTP is the only methodology that captures the segment-level value drivers this thesis is built on. A single blended multiple analytically useless here is addressed in Section 2.2.

DCF cross-check at 10.1% WACC, 4.5% terminal growth yields ₹1,150-1,200 treated as a floor, not a target. DCF mechanically understates value here: near-term FCF suppression is entirely investment-cycle driven, while Jio's network returns compound over decades and get heavily discounted. A 50bps WACC change moves the output ±₹80-90/share.

5.2 SOTP: Segment By Segment

Target Price: ₹1,612 per share

Every multiple below is conservative relative to where peers trade. That conservatism is deliberate, the target price should not depend on multiple expansion. It should be what the business is worth if you apply appropriate multiples to what is already earning.

Jio Platforms: 15x FY26E EV/EBITDA - ₹832/share

Jio's FY25 EBITDA of ₹64,170 crore grew 16.8% year-on-year. On FY26E EBITDA of approximately ₹76,000-78,000 crore, assuming ARPU moves from ₹206 toward ₹220-225 and JioAirFiber adds incremental contribution 15x yields ₹832 per share.

Jio at 15x versus Airtel at 12-13x - the premium is justified by larger ARPU monetisation runway and digital ecosystem optionality (JioCinema, JioMart, enterprise cloud) that a pure-play telecom multiple doesn't capture. Market IPO discussions imply 18-20x; we stay at 15x and treat the gap as unmodelled upside.

Retail: 27x FY26E EV/EBITDA - ₹599/share

DMart trades at 55-60x on a single-format, high-margin, geographically concentrated grocery model. Trent trades at 50x+ on a fashion-heavy, aspirational consumer mix. We apply 27x to a multi-format retailer operating across grocery, fashion, electronics, and digital commerce with ₹3.3 lakh crore in revenue and a private label business scaling at 40%+ CAGR in its second year.

O2C: 6.5x FY26E EV/EBITDA - ₹264/share

LyondellBasell trades at 6-7x. Sinopec at 5-6x. HPCL and BPCL at 5-6x. Jamnagar's Nelson Complexity Index advantage and US ethane feedstock flexibility justify positioning at the upper end of global integrated peers but given near-term cycle headwinds, we hold at 6.5x rather than pushing to 7x.

On FY26E O2C EBITDA of approximately ₹58,000-60,000 crore, a modest recovery from FY25's ₹54,988 crore, 6.5x gives ₹264 per share. If O2C recovers to normalised historical margins of 10-12% by FY27-28, per-share value at 7x on that normalised EBITDA moves to ₹320-340. That is the recovery upside, not the base assumption. We are not paying for it.

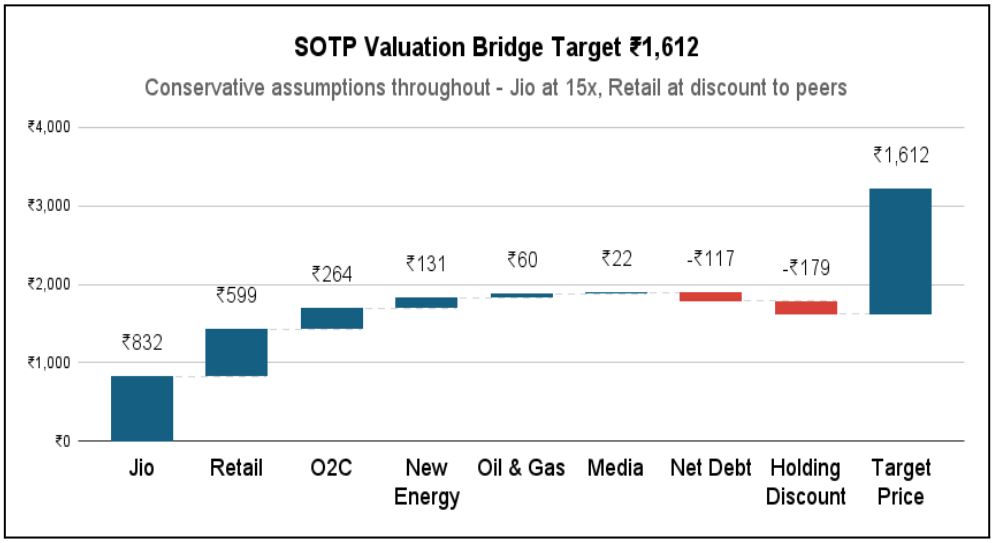
New Energy: ₹131/share - Capital Deployed

No commercial revenue exists. No earnings-based multiple applies. We anchor to approximately ₹75,000-80,000 crore of capital deployed through FY25, with a conservative premium for first-mover positioning in India's energy transition.

The range of outcomes here is deliberately wide. If New Energy hits commercial milestones by FY27-28, gigawatt-scale solar, commercial green hydrogen, battery storage offtake, this segment alone adds ₹200-300 per share to the SOTP. A two-year delay through FY29-30 keeps it at the capital deployed floor. A capex stress scenario, 30% overage, two-year commercialisation delay could compress it to ₹80-100 per share. The ₹131 base case is not optimistic. It is the honest anchor when execution timelines are genuinely uncertain.

HoldCo Discount: 10%

The industry standard for Indian conglomerates with diverse unlisted subsidiaries is 15-20%. We apply 10% because Jio and Retail, while not independently listed, provide transparent segment financials, maintain separate governance structures, and have clearly articulated paths to value discovery. A full 20% discount belongs on opaque subsidiaries with no independent reporting that is not the situation here.



Source: Author estimates; Multiples benchmarked against peer EV/EBITDA (FY26E); RIL FY25 Annual Report (FY 2024-25), p. 113 (Net Debt: ₹1,17,083 Cr as on March 31, 2025); March 2026

The 10% discount is dynamic - a Jio IPO announcement compresses it toward 5% immediately; a governance event pushes it toward 20%.

Sensitivity Analysis: Three Dimensions

A complete SOTP requires testing all three major value drivers independently. Most scenarios across all three tables sit comfortably above the current market price of ₹1,414.

Jio EV/EBITDA vs FY26E Jio EBITDA

Telecom Peer Comparison				
Jio premium to Airtel justified by ARPU runway				
Company	EV/EBITDA	ARPU (₹)	Subscribers	EBITDA Margin
Reliance Jio	15x	₹206	488M	41%
Bharti Airtel	12-13x	₹245	390M	57%
Vodafone Idea	NM	₹164	215M	Neg FCF
SoftBank Japan	9-10x	₹950	170M	45%

Source:Jio Platforms Q3 FY26 Results; Bharti Airtel Q3 FY26 Results; SoftBank Japan FY2024 Annual Report; Author estimates; All other SOTP segment values held at base case

Even at 13x Jio multiple - a significant discount to Airtel and ₹70,000 crore EBITDA (below our base case), the SOTP lands at ₹1,420, essentially at current market price. The downside from multiple de-rating is bounded.

O2C EV/EBITDA vs FY26E O2C EBITDA

O2C Peer Comparison			
O2C conservative vs global peers			
Company	EV/EBITDA	GRM ($/bbl)	Complexity
Reliance O2C	6.5x	$8-9	Very High
LyondellBasell	6-7x	N/A	High
Sinopec	5-6x	$5-6	Medium-High
HPCL/BPCL	5-6x	$4-6	Medium

Source: LyondellBasell Industries FY2024 Annual Report; Sinopec FY2024 Annual Report; HPCL & BPCL FY25 Annual Reports; RIL FY25 Annual Report (FY 2024-25), p. 39 (O2C EBITDA); Author estimates

O2C sensitivity is narrower than Jio sensitivity, the range of outcomes across the entire matrix is approximately ₹143 per share. This reflects the fact that O2C, while large on revenue, is valued at a low multiple precisely because it is cyclical. The multiple range for a commodity asset is inherently compressed.

Retail EV/EBITDA vs Retail EBITDA Margin

Retail Peer Comparison			
Retail at steep discount to DMart and Trent			
Company	EV/EBITDA	Revenue	EBITDA Margin
Reliance Retail	27x	₹3.3L Cr	8.30%
DMart	55-60x	₹54,000 Cr	9.20%
Trent	50x+	₹17,000 Cr	12%
Walmart US	14-15x	Massive	6%

Source: Avenue Supermarts (DMart) FY25 Annual Report; Trent Limited FY25 Annual Report; Walmart Inc. FY2025 Annual Report; RIL FY25 Annual Report (FY 2024-25), p. 34 (Retail Revenue ₹3,30,943 Cr, EBITDA ₹25,094 Cr); Author estimates

The Retail table demonstrates that even if private label penetration stalls and margins hold at 8.3%, the base case target of ₹1,612 is supported by the 27x multiple alone. Margin expansion is incremental upside, not the load-bearing assumption.

5.3 What Is Not In The Base Case

Jio IPO: The Most Quantifiable Upside

No firm timeline. No official confirmation. Excluded entirely from our numbers not because it is unlikely, but because unconfirmed optionality should not be priced into a base case target.

The math is worth understanding. At USD 100 billion (approximately ₹8.3 lakh crore), implied EV/EBITDA on current Jio EBITDA is 17-18x, 2-3 turns above our 15x base. Per-share impact above our ₹832 Jio valuation: approximately ₹200-280. At USD 120 billion, the addition reaches ₹300-370 per share. Any credible announcement is an immediate, quantifiable re-rating event not a sentiment story.

Saudi Aramco O2C Stake

Saudi Aramco O2C stake sale - discussed at $15 billion, stalled since 2019 is excluded from base case. If revived, it crystallises O2C value at a premium to our 6.5x and reduces commodity balance sheet exposure. We do not model it. But it is not trivial.

5.4 Scenario Analysis

Scenario assumptions, probability weights, and per-share implications are detailed below. Full stress test including simultaneous risk correlation follows in the Perfect Storm analysis.

Scenario	Bear Case	Base Case	Bull Case
Price (₹)	1,200	1,612	1,750
Probability	20%	55%	25%
Jio ARPU FY27 (₹)	210-215	230-235	245+
O2C Recovery	Delayed to FY28+	Begins FY27	Begins H2 FY26
Retail Margin (%)	8.3-8.5%	9.0-9.3%	9.5-10%
Jio Multiple (x)	12x	15x	17x
Prob-Weighted Price	₹1,564		
Probability-Weighted Outcome = (0.20×1200)+(0.55×1612)+(0.25×1750)			

Source: Author estimates. Scenario assumptions detailed in Section 5.4.

Bear Case - ₹1,200 (20% probability)

This is not mild underperformance. It requires Jio ARPU to stall - Vi competing more aggressively on price than our base assumes, making the next industry tariff round commercially difficult before FY27 while O2C spreads simultaneously remain compressed into FY28. Combined EBITDA impact versus base case: ₹25,000-30,000 crore. At 12x Jio and 5.5x O2C, SOTP compresses to ₹1,200. We assign 20% probability because the Jio execution risk and the O2C cycle risk are largely independent variables. Their simultaneous failure is a tail scenario, not a base expectation. Even here, the downside from the current price is 15% - bounded by the quality of the underlying assets.

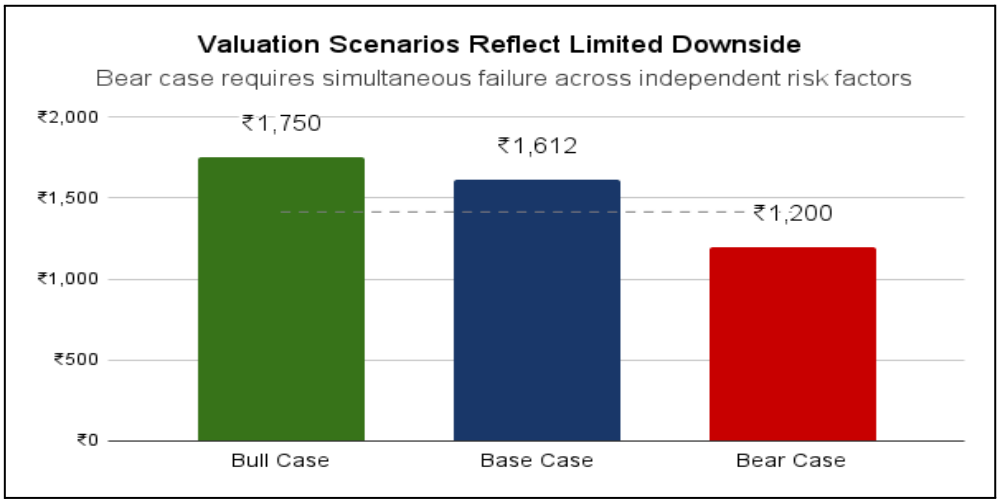
Base Case - ₹1,612 (55% probability)

Jio executes one more tariff round by end-FY26. ARPU reaches ₹230-235 by FY27. Retail private label scales toward 10-12% penetration, margins reach 9%+. O2C recovery begins gradually from FY27. New Energy adds no revenue contribution. We assign 55% probability not from excessive

confidence but because each individual assumption is already directionally confirmed in quarterly data. We are extrapolating visible trends, not forecasting structural inflections.

Bull Case - ₹1,750 (25% probability)

ARPU reaches ₹245 by FY27, matching Airtel today. O2C spreads recover earlier as Chinese demand absorbs excess capacity in H1 FY26. New Energy secures a meaningful commercial offtake deal. A Jio IPO announcement triggers re-rating. None of these is implausible individually, the bull case simply assumes more of them converge on a tighter timeline than the base case assumes.



Source: Author estimates. Scenario assumptions detailed in Section 5.4.

The standard scenario analysis - Bear, Base, Bull models each risk factor independently. The more intellectually honest stress test asks: what happens if multiple material risks materialise at the same time? In practice, risks are often correlated, a geopolitical shock that disrupts Russian crude also affects global energy sentiment, which affects broader market multiples, which affects Jio's IPO timing. The scenarios are not as independent as they appear.

The Perfect Storm: What Happens If Everything Goes Wrong Simultaneously

This scenario assumes four adverse developments simultaneously:

Combined Financial Impact		
Metric	Base Case	Perfect Storm
Jio FY27E EBITDA (₹ Cr)	88,000	72,000
O2C FY27E EBITDA (₹ Cr)	62,000	46,000
Retail FY27E EBITDA (₹ Cr)	28,500	25,000
Consolidated FY27E EBITDA (₹ Cr)	200,000	165,000
FY27E FCF (₹ Cr)	44,000	(5,000)
Net Debt/EBITDA FY27E	0.30x	0.72x
SOTP (Jio at 12x, O2C at 5x)	1,612	1,050

Source: Author estimates based on segment-level stress assumptions. Base case figures from RIL FY25 Annual Report and Q4 FY25 Analyst Presentation. Stress scenario inputs — capex overshoot, ARPU stall, Russian crude disruption — derived from risk sensitivity analysis in Section 6. March 2026.

What the Perfect Storm tells us:

The floor in a genuine multi-risk simultaneous failure scenario is approximately ₹1,050 per share — a 26% decline from current market price of ₹1,414. That is the worst-case outcome under conditions that require Russian crude disruption, Jio ARPU stagnation, New Energy capex overshoot, and market multiple compression to all happen in the same 12-24 month window.

Even in simultaneous failure across all four risk factors, the floor is ₹1,050, a 26% decline from ₹1,414. Net Debt/EBITDA reaches only 0.72x, well within investment-grade territory. The joint probability of four largely independent adverse variables coinciding is meaningfully lower than any individual risk. We assign 5-10% probability to this scenario.

In my view, the Perfect Storm is a 5-10% probability event. The asymmetry remains: base case upside of 14%, bull case upside of 24%, versus a worst-case downside of 26% that requires genuinely extreme simultaneous adverse outcomes. Most asymmetric investment opportunities offer worse odds than this

KEY INSIGHT

- ₹1,612 is constructed with conservative assumptions at every segment, Jio at a 25% discount to IPO-implied multiples, Retail at half the multiple of single-format peers, O2C near cycle lows. This is not an optimistic target. It is what the business is worth today if you apply appropriate multiples to what is already earning.
- The probability-weighted outcome of ₹1,565-1,620 sits above current market price even after assigning 20% to a bear case that requires simultaneous failure across independent risk factors. Down 15% if a lot goes wrong at once. Up 24% if visible trends continue. That asymmetry is the trade.

RISKS

6.1 The Three Risks Worth Watching

Risk 1: Russian Crude Disruption: External, Quantifiable, Immediate

The financial impact is quantifiable. A $2/bbl increase in effective crude cost on 1.4 mbpd throughput hits annual EBITDA by ₹10,000-13,000 crore 5-7% of FY26E consolidated EBITDA. US ethane access provides partial insulation on the petrochemical feedstock side, but the refining margin, GRM, is directly exposed with no operational hedge. Every $1/bbl move in GRM translates to approximately ₹5,000-6,000 crore of annual EBITDA impact. In my view, this is the one variable in this entire model that no amount of operational excellence or strategic positioning can mitigate. It is a geopolitical risk that sits entirely outside the financial model's control assumptions.

Risk 2: Jio ARPU Stagnation: Moderate Probability, High Model Sensitivity

Two credible ARPU stall scenarios: Vi stabilises on government support and delays the next industry tariff round; or the hike triggers downtrading rather than churn users migrating from ₹299 to ₹179 plans stay in subscriber count but compress ARPU by ₹120/month. At 10-15% downtrading, realised ARPU falls toward ₹215-220 from the headline ₹230-235. Sensitivity: every ₹10 of ARPU miss reduces Jio EBITDA ~₹6,000 crore; at 15x, that's ₹70-80/share of SOTP. Bear ARPU scenario compresses target to ₹1,520-1,540 - still a BUY.

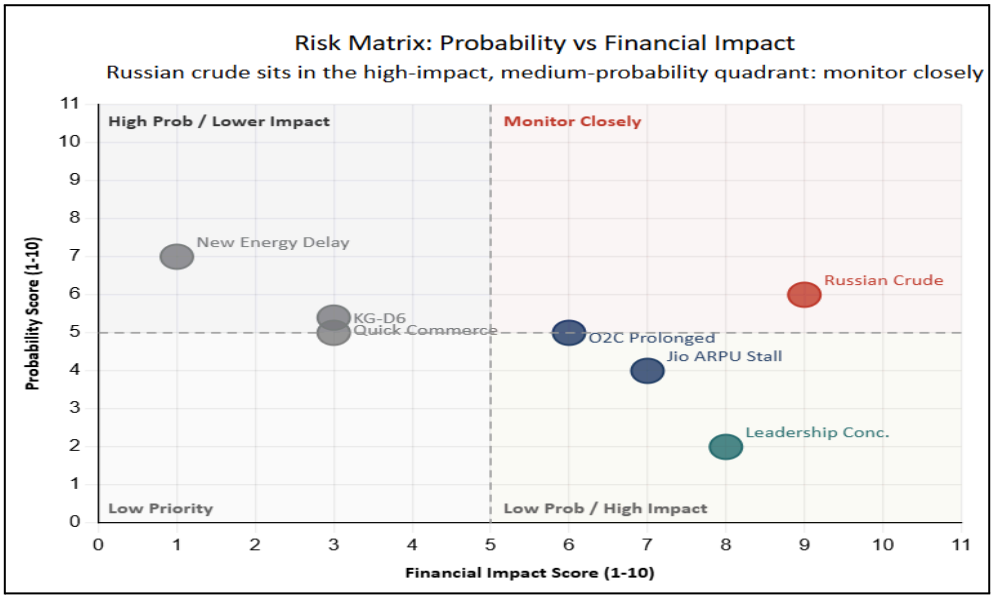
Risk 3: Leadership Concentration: Low Probability, Multiple Risk Not Earnings Risk

Every significant capital allocation decision Reliance has made over the past 15 years - the Jio bet, the retail buildout, the New Energy pivot, the Saudi Aramco partnership discussions has run through Mukesh Ambani personally. The market pays a premium for that track record, and it is embedded in the multiples we assign to Jio and Retail.

Succession is underway - Isha (Retail), Akash (Jio), Anant (New Energy) but market confidence in strategic decision-making remains tied to Mukesh Ambani personally.

The risk would not appear in quarterly EBITDA. It would appear in the multiple the market is willing to pay for future growth investments. Multiple compression of 2-3 turns on Jio alone from 15x to 12-13x is ₹150-200 per share of SOTP impact. That is a real, quantifiable valuation risk even though it is a low-probability event given the succession plan that is already underway.

Risk Summary - Probability & Financial Impact				
Three risks material to thesis, rest manageable at RIL's balance sheet scale				
Risk	**Probability**	**Duration**	**EBITDA Impact**	**Mitigation**
Russian crude disruption	Medium	Near-term FY26	₹10,000-13,000 Cr	Ethane access, feedstock diversity
Jio ARPU stall	Low-Medium	FY26-27	₹6,000-8,000 Cr	Industry structure, Vi weakness
O2C cycle prolonged	Medium	FY27-28	₹8,000-12,000 Cr	Integration advantage, cost floor
Leadership concentration	Low	Structural	Multiple compression	Succession underway
KG-D6 arbitration	Medium	Near-term FY26	₹15,600 Cr one-time	Cash position adequate
Quick commerce competition	Medium	FY27-28	Limited metro-specific	Tier 2/3 strength
New Energy delay	Medium-High	FY28+	₹0 near-term	Placeholder valuation only



Source: Author assessment; RIL FY25 Annual Report (FY 2024-25), p. 32 (FY26E EBITDA base); Q4 FY25 Analyst Presentation; KG-D6 arbitration quantum: RIL FY25 Annual Report (FY 2024-25), Board's Report; Probability and impact scores: Author's qualitative judgment

6.3 Segment-Specific Risks

O2C

O2C risk has already materialised, EBITDA down 11.9% in FY25, margins at 8.8% vs 10-12% normalised. China's ethylene overhang does not reverse quickly. Jamnagar's cost floor limits the downside: GRM compresses, but does not go negative. Quantified impact in Section 6.1.

Retail

Quick commerce has materially disrupted metro grocery, and I have previously underestimated the mechanism. The geographic framing - Blinkit and Zepto as a metro problem is technically correct but analytically incomplete. The real risk is behavioural: customers who shift to quick commerce for grocery replenishment do not simply move the same basket to a faster delivery channel. They make fundamentally different purchasing decisions - need-based, item-specific, zero browse time. Store visits generate impulse purchases, category adjacency conversions, and private label product trials. Quick deliveries generate none of these. If this behaviour shift suppresses urban store footfall, private label penetration ramps more slowly, and the margin expansion timeline extends.

New Energy

The primary risk is timing, not viability. Green hydrogen currently costs $4-6/kg versus $1-2/kg for grey hydrogen. Commercial offtake without subsidy requires crossing below $2/kg, which is a function of electrolyser cost declines (falling at 15-20% annually) and renewable energy input costs. Whether that crossover happens by FY28 or FY32 determines whether New Energy is a FY28-30 earnings contributor or a FY32-35 earnings contributor, a material difference for investors with 3-5 year time horizons.

Solar manufacturing is a domestically defensible position (government PLI support, first-mover) but not a global competitive advantage, China dominates on cost. New Energy's moat is captive green hydrogen demand from Jamnagar's own refining operations, eliminating the offtake risk that derails most early-stage hydrogen projects.

KG-D6 Arbitration

The Government of India's cost recovery dispute over the KG-D6 block involves a claim of approximately USD 1.87 billion (₹15,600 crore) - roughly 3% of Reliance's current cash holdings. In absolute financial terms, even a worst-case outcome is manageable without materially changing the balance sheet picture.

G-D6 dispute (USD 1.87B / ₹15,600 crore) is manageable at 3% of cash holdings. The real risk is regulatory precedent for India's upstream exploration sector, not a FY26 earnings issue but a structural deterrent to long-term Oil & Gas optionality.

6.5 Key Monitoring Points: What Would Change the Call

These are not generic risks. They are specific, observable, quarterly data points that would cause us to revise the target price or reconsider the rating. The discipline of defining these upfront is what separates a live investment thesis from a static research note.

Downgrade trigger 1: Jio ARPU flat or declining for two consecutive quarters. Below ₹205 for two quarters signals either competitive pressure materially greater than modelled or genuine consumer pushback on pricing at current levels. At that point, we would revisit the 15x Jio multiple, a reduction to 13x moves the target toward ₹1,490.

Downgrade trigger 2: O2C EBITDA falls below ₹45,000 crore in any full fiscal year. That is below our bear case assumption and would indicate cycle deterioration beyond what global integrated refining peers are experiencing implying Jamnagar-specific issues rather than pure cycle exposure. It would force an SOTP revision toward ₹1,350-1,400.

Downgrade trigger 3: FY27 capex guidance comes in above ₹1.40 lakh crore. If New Energy timelines slip and require incremental heavy investment beyond our modelled ₹1.10-1.15 lakh crore FY27 capex, FCF recovery gets pushed out by 2+ years and the balance sheet deleveraging story changes materially.

Governance trigger: Any significant related-party transaction at abnormal scale, unexplained large acquisition, or material regulatory action would require full thesis reassessment regardless of operating metrics. This is a non-negotiable tripwire.

What does not change the call: one quarter of weak O2C - the cycle thesis already prices near-term weakness and a single quarter proves nothing directionally. Single-quarter PAT misses driven by tax timing or forex mark-to-market. Short-term stock price weakness unrelated to the fundamental data points above.

KEY INSIGHT

- Two risks genuinely matter: Russian crude disruption and Jio ARPU stagnation. The first is uncontrollable and quantifiable at ₹10,000-13,000 crore EBITDA impact. The second is manageable but model-sensitive at ₹70-80 per share per ₹10 of ARPU miss. Everything else the balance sheet handles.
- Leadership risk lives in the multiple, not the P&L. Watch the Jio IPO timeline, a credible listing announcement compresses the HoldCo discount and adds ₹200-280 per share to the SOTP without changing a single line of operating earnings.

INVESTMENT RECOMMENDATION

BUY | Target Price: ₹1,612 | 12-Month Horizon

7.1 Pulling It Together

The thesis is confirmed in the quarterly numbers. The multiple hasn't moved. That gap closes one of two ways — market re-rates Jio and Retail as their EBITDA contribution becomes impossible to ignore, or O2C recovers and consensus upgrades across the board. In the base case, both happen at different speeds.

BUY. Target: ₹1,612.

7.2 Why The Re-Rating Happens Within 12 Months

Most re-rating theses fail because they depend on something that has not yet happened. This one does not. Three catalysts are time-bound, public, and quarterly, they do not require management to announce anything extraordinary. They require existing trends to continue.

Q1-Q2 FY26: Jio ARPU Confirmation

Jio's Q3 FY26 ARPU stood at ₹213.7, already tracking higher from the FY25 average of ₹206.2. Per RIL's own guidance, the full flow-through of the July 2024 tariff hike will be completed by June 2025. Q1 FY26 results, due July 2025, should show ARPU at ₹215-220. A delay past FY27 would require us to revisit the base case timeline, though not the direction. This is the single most important near-term datapoint. It shows up every quarter, requires no interpretation, and leaves no room for ambiguity.

H2 FY26: Next Industry Tariff Round

Airtel's ARPU is ₹259 as of Q3 FY26. Jio is at ₹213.7. The ₹45 gap across 488 million users represents approximately ₹26,000 crore of annualised revenue that Jio is currently leaving on the table. The industry structure, two credible operators, a weakened third player, a regulator that has consistently accepted tariff increases when framed as sustainability measures supports another round. Timing is uncertain. The probability, in my view, is high. Our base case assumes H2 FY26. Early confirmation is the bull case. A delay past FY27 would require us to revisit the base case timeline, though not the direction.

FY27: O2C Spread Recovery

Timing visibility on O2C recovery is low because it is entirely a function of global petrochemical supply-demand dynamics outside Reliance's control. The indicators to watch: Chinese ethylene capacity utilisation rates, European and Korean plant closure announcements, and quarterly GRM commentary from Indian refining peers. Reliance's own management commentary in Q2-Q3 FY26 earnings calls will be the most direct signal, they will either signal H2 FY26 improvement or guide for a longer trough. In the base case, recovery begins in FY27. In the bear case, it delays to FY28+. Either way, the thesis does not depend on it. Jio and Retail alone justify the target price. O2C recovery is upside.

Ongoing: Jio IPO

No firm date. No official confirmation. Every quarter that passes with Jio growing EBITDA at 16%+ and ARPU expanding makes the eventual listing more valuable and incrementally more likely. Any credible announcement triggers an immediate re-rating, we estimate ₹200-280 per share above our base SOTP at a USD 100 billion valuation, and ₹300-370 at USD 120 billion. This is not in the base case. It is real, quantifiable, unmodelled upside that represents the single largest potential per-share addition to the SOTP without any change in underlying business performance.

7.3 What Would Make Us Wrong

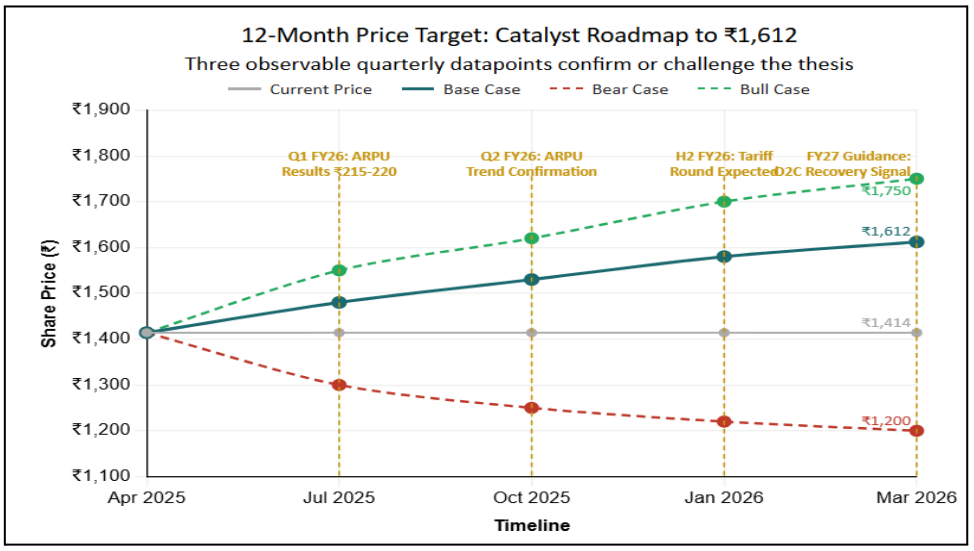
Exit triggers: Jio ARPU below ₹205 for two consecutive quarters, O2C EBITDA below ₹45,000 crore annually, FY27 capex guidance above ₹1.40 lakh crore, or any governance event. Defined in Section 6.5.

7.4 Portfolio Context

RIL is a core holding in a diversified India equity portfolio, not a tactical position. The distinction matters for how investors should think about position sizing and patience.

This is a 24-36 month structural position, not a quarterly trade. The 12-month horizon captures catalyst confirmation, ARPU tracking, tariff round, O2C commentary. Full thesis plays out as Jio monetisation compounds and Retail private label scales to 10-12% penetration by FY27-28.

RIL is a core holding in a diversified India equity portfolio, a 24-36 month structural position, not a quarterly trade. Exit triggers are defined in Section 6.5.



Source: Author estimates. Current market price as of March 2026 (₹1,414). Scenario prices based on SOTP analysis in Section 5.4. Catalyst markers based on Jio Platforms guidance (Q3 FY26 Results), Bharti Airtel Q3 FY26 Results, and RIL management commentary.

7.6 Final Word

Reliance at ₹1,414 is being valued for a business that no longer exists in the form the market is pricing. Three years ago, O2C dominated both revenue and earnings. The 5G network that consumed billions in capex over five years is now an asset generating returns rather than consuming capital. O2C remains cyclically weak but that weakness is the reason the mispricing exists. It is not a reason to avoid the stock.

In my view, the re-rating does not require a new catalyst. It requires three existing trends to continue for four more quarters: Jio ARPU tracking toward ₹220+, the industry's next tariff round confirming pricing power, and O2C management commentary signalling spread recovery timeline. Three observable, quarterly, unambiguous datapoints. The downside in a scenario where multiple things go wrong simultaneously is 15%, bounded by asset quality. The upside in the base case is 14%; in the bull case, 24%. A probability-weighted outcome of ₹1,590-1,620 sits above today's price after assigning full weight to the bear case. The asymmetry is clear, the thesis is testable, and the time horizon is defined.

SOTP: ₹1,612. Rating: BUY.

KEY INSIGHT

- The market is paying O2C prices for a business that now earns more from Jio and Retail combined. That mispricing does not correct overnight but four consecutive years of data make it increasingly difficult to sustain.
- Down 15% if everything breaks simultaneously. Up 24% if visible trends continue. Three quarterly data points in the next 12 months confirm or challenge the thesis. That testability not narrative faith is what makes this a conviction position, what makes this initiating, not speculative.